DRHP / IPO ANALYSIS · MILLWORKS TECHNOLOGIES LIMITED (BSE SME PLATFORM; BID OPENED 2026-07-14, CLOSED 2026-07-16; LISTED ~2026-07-21) · DRHP 2026-07-07

WATCH-POST-LISTING

Millworks Technologies Limited

SME IPO (100% Fresh Issue, Book Built) · Order book ₹67.14Cr as of 2026-06-05 · Sources: RHP

Timing note: Already listed and trading as of report date (2026-07-24) at Rs 660. This report is therefore a post-listing hold/avoid read, not a subscription decision.

FY26 REVENUE
Rs 148.8 Cr
up 6.7x YoY (FY25: Rs 22.1cr)

FY26 PAT
Rs 37.1 Cr
margin 24.9%

FY26 OPERATING CASH FLOW
Rs -10.8 Cr
negative despite Rs 37cr profit

DEBTOR DAYS
340 days
up from 112 (FY25) and 73 (FY24)

TOP CUSTOMER CONCENTRATION
47.0%
top-2 = 63.3%, top-10 = 92.1% of FY26 revenue

ISSUE STRUCTURE
100% Fresh Issue
No OFS -- promoters not cashing out

PEER P/E VS OWN P/E
31.3x vs 92.2x avg
Unimech Aerospace 87.9x, Azad Engineering 96.5x

PROMOTER POST-LISTING HOLDING
59.2% (+5.9% promoter group)
Concentrated family holding via V3 Technologies entity

01 VERDICT

WATCH-POST-LISTING. The issue itself was structurally clean for an SME IPO: 100% fresh issue (no promoter OFS/cash-out), no litigation or criminal proceedings against company/promoters/KMP, first-time auditor with no qualifications, and a valuation (P/E ~31x FY26) priced at a large discount to listed peers Unimech Aerospace (P/E 87.9x) and Azad Engineering (P/E 96.5x) -- explaining the post-listing pop to Rs 660. However, the FY26 numbers behind that EPS are lower-quality than they look: PAT of Rs 37.1cr was NOT backed by cash -- operating cash flow was Rs -10.8cr, almost entirely explained by a Rs 128.9cr jump in trade receivables (debtor days 112 to 340) concentrated with a customer base where one counterparty is 47% of revenue and the top 2 are 63%. Combine that with a 200:1 bonus issue six months pre-IPO, an order book (Rs 67cr) covering under half of FY26 revenue, and a Head of Business Development resignation weeks before the RHP, and the growth quality needs at least 1-2 more quarters of receivables collection and order-book visibility before this is a hold-through-cycle conviction rather than a listing-gains trade.

02 BUSINESS, PROMOTERS & ISSUE PROCEEDS

Business: Incorporated November 2021, Millworks Technologies is a precision engineering and manufacturing company producing precision-machined components, sheet metal parts and integrated assemblies for mission-critical applications across Defence, Railways, Aerospace and Semiconductor industries. Operates 4 manufacturing units in Bengaluru/Peenya (CNC 3/4/5-axis machining, turning, wire EDM, fibre laser cutting, CNC press brakes, welding, assembly/inspection). FY26 segment mix: Defence 69.4% of revenue (up sharply from prior years), Railways Rs 35.17cr (up from Rs 15.04cr in FY25), Semiconductors and Aerospace smaller contributors. [RHP p.127; p.84 (facilities); p.28-29 (segment/customer detail)]

Mix (FY25): Product — Railways 68%, Semiconductors 20%, Defence 7%, Aerospace 5%. Customer — Customer 1 33.5%, Customer 2 12.3%, Top 10 combined 88%. [RHP p.127; p.84 (facilities); p.28-29 (segment/customer detail)]

Promoters: Sridhar Acharya (Managing Director / Promoter, 14.38%); Rashmi Sridhar Acharya (Director / Promoter, 15.23%); H K Madhu (Whole Time Director / Promoter, 14.38%); Sowmya Madhu (Promoter, 15.23%). [RHP p.76 (Capital Structure -- Promoter Shareholding)]

OBJECT OF ISSUE	₹ LAKH	FY27/28
Capital expenditure -- Plant & Machinery (Units 1, 3, 4)	6,103.25	6,103.25/0.00
Working capital requirements	8,150.00	8,150.00/0.00
General Corporate Purposes (capped at 15% of issue or Rs 10cr, whichever lower)		–/0.00

100% fresh issue -- entire Rs [.] lakh issue size goes to the company (capex + working capital), not to promoter cash-out. Notably, Rs 81.5cr (larger of the two funded objects) is earmarked for working capital -- directly relevant given the receivables/cash-conversion stress documented in FY26 financials below. [RHP p.82-84]

03 FINANCIALS, RESTATED (₹ LAKH) — FY25 CELL COLORED VS FY24, DIRECTION THAT MATTERS PER METRIC

METRIC	FY2024	FY2025	FY2026
Revenue	939	2210	**14877**
EBITDA margin	26.0%	35.0%	35.0%
PAT	195	525	**3706**
PAT margin			
RoNW	83.9%	22.5%	**44.8%**
ROCE	—%	39.0%	**81.0%**
Debt-Equity	—	—	—
CFO (₹L)	**65**	**-292**	**-1,076**
Debtor days	73	112	**340**
Days Working Capital			
Top-10 customer conc.	93.7%	88.0%	**92.1%**

FY26 is the critical year: PBT of Rs 50.2cr and operating profit before working-capital changes of Rs 53.5cr were wiped out by a Rs 128.9cr increase in trade receivables, turning operating cash flow negative (Rs -10.8cr) for the second year running (FY25 was also negative, Rs -2.9cr, on a smaller base). Trade payables also rose sharply (+Rs 67.9cr) partially offsetting the receivables drag, meaning the company is effectively financing its growth by stretching both receivables collection and payables -- a working-capital-intensive growth pattern that used Rs 27.2cr of financing inflows (fresh borrowings + pre-IPO equity issuance) to plug the gap. Free cash flow has been negative in all three restated years. [RHP p.S2 (P&L Restated), p.S3 (Cash Flow Restated), p.28 (customer concentration), Ratios section]

04 RELATED-PARTY TRANSACTIONS, LITIGATION & CONTINGENT LIABILITIES

RELATED PARTY	Relationship	Nature (FY25)	Amount / status
V3 TECHNOLOGIES (PARTNERSHIP FIRM OF PROMOTERS/RELATIVES -- PROMOTER GROUP ENTITY, 5.86% PRE-ISSUE SHAREHOLDER)	Entity where KMP/promoters exercise significant influence	Purchase of materials, rent, sale of goods, PP&E purchase, advances given/repaid, security deposit	707.74L (32% of rev) — FY25: Company purchased PP&E worth Rs 707.74 lakh from V3 Technologies and sold goods worth Rs 204.20 lakh to it -- a promoter-group entity transacting on both the buy and sell side. FY26: advances given/repaid of Rs 503-556 lakh each way plus a Rs 140 lakh security deposit. Volume and bidirectional nature of this RPT relationship warrants monitoring.
SRIDHAR ACHARYA, MADHU H K, RASHMI SRIDHAR ACHARYA (DIRECTORS/PROMOTERS)	Director	Personal loans taken from and repaid to the company; director remuneration	76.72L (3.5% of rev) — Promoter-directors routinely take and repay small personal loans from the company (FY24-26) alongside remuneration -- common in closely-held pre-IPO companies but a governance item to track post-listing under related-party disclosure norms.

LITIGATION	COUNT	₹ LAKH
Against company — Direct and indirect tax proceedings	3	8.45
Against company — Criminal / material civil litigation	0	0.00
Against promoters — Direct and indirect tax proceedings	11	24.86
Against promoters — Criminal / material civil litigation	0	0.00
Against directors — All categories (criminal, civil, tax, regulatory)	0	0.00
Criminal — against co./promoters/KMP	0	–

Company has multiple instances of delayed/non-compliance with Companies Act provisions: (1) Section 10A subscription-money non-compliance where two subscribers' initial payments came from third-party bank accounts rather than their own -- since regularised, compounding/adjudication application filed with RoC (SRN AC4433696, filed 6 Jul 2026, pending as of RHP date); (2) multiple late PAS-3 filings for private placement allotments across FY24-26, reported to RoC via Form GNL-2. Both are disclosed and being regularised, not concealed, but reflect a governance/compliance function that lagged the company's rapid scale-up. [RHP p.38 (litigation summary table), p.24-26 (non-compliance risk factor)]

CONTINGENT LIABILITY	MAR'24	MAR'25	JUN'25
Claims against company not acknowledged as debt	–	–	–
Capital commitments contracted, not provided for	–	–	–

[RHP p.55 (Summary of Contingent Liabilities)]

05 AUDITOR, INDUSTRY DATA & VALUATION ANCHOR

Check **Auditor:** M/s. Vishnu Daya & Co LLP, Chartered Accountants (ICAI Firm Reg. No. 008456S/S200092), Not specified as recently changed in extracted sections. Predecessor: Not disclosed as changed in reviewed sections. Qualifications: No auditor qualifications identified in the restated financial statements reviewed. [RHP p.S2, S3 (auditor sign-off on restated financials)]

Industry: Company operates in Defence/Railways/Aerospace/ Semiconductor precision-component manufacturing -- a sector benefiting from Indian government's defence indigenisation and 'Make in India' push. FY26 growth is heavily attributed to a single sector shift (Defence rising from ~7% to 69% of revenue mix) rather than broad-based diversification, which raises the question of durability if defence order flow normalises. Global CAGR cited %; India CAGR % ($NoneM→$NoneM). [RHP p.102 (Industry Overview), p.28-29 (segment revenue disclosure)]

No listed anchor **Peer/valuation:** Unimech Aerospace and Manufacturing Ltd (CMP Rs 1,091.40, Diluted EPS Rs 12.42, P/E 87.87x, RoNW 8.58%, NAV/share Rs 144.99); Azad Engineering Ltd (CMP Rs 1,984.00, Diluted EPS Rs 20.57, P/E 96.45x, RoNW 8.74%). Millworks: Diluted EPS Rs 30.67 (post-bonus), RoNW 44.83%, NAV/share Rs 64.73 as at Mar-2026, weighted-average 3-year EPS Rs 17.34, weighted-average 3-year RoNW 43.90%. Weighted EPS ₹17.34, weighted RoNW None%, NAV/share ₹None (Mar'25). [RHP p.93-94 (Basis for Issue Price)]

Post-listing: CMP ₹660, mkt cap ₹1163Cr, trailing P/E 31.3x. Already listed and trading as of report date (2026-07-24) at Rs 660. This report is therefore a post-listing hold/avoid read, not a subscription decision.

06 RED-FLAG SCAN

FLAG	EVIDENCE
PAT vs operating cash flow divergence	FY26 PAT Rs 37.06cr but CFO Rs -10.76cr; FY25 also negative (Rs -2.92cr). Entire divergence traced to a Rs 128.94cr increase in trade receivables (RHP Annexure III, Statement of Cash Flow). This is a textbook profit-quality red flag.
Debtor days spike / receivables concentration	Debtor days jumped from 112 (FY25) to 340 (FY26); trade receivables of Rs 138.69cr are ~93% of FY26 revenue outstanding at year-end. Screener.in independently flags 'Company has high debtors of 340 days' and 'Working capital days increased from 76.3 to 111 days' as auto-generated cons.
Customer concentration	Top customer = 47.02% of FY26 revenue (up from 33.5% in FY25); top-2 = 63.3%; top-10 = 92.06%. No long-term contracts disclosed -- purchase-order basis only (Risk Factor #6, RHP p. 28).
Sector/customer-driven growth spike pre-IPO	Revenue grew 938.6 to 2,210.0 to 14,876.7 lakh (FY24-26), a 6.7x jump in the year immediately preceding the IPO, driven overwhelmingly by Defence sector share rising from single digits to 69.4% of revenue. Rapid, concentrated, immediately-pre-IPO growth spikes warrant scrutiny of sustainability.
200:1 bonus issue 7 months pre-IPO	Bonus issue of 1,25,08,200 equity shares (200:1 ratio) completed 15 Dec 2025, ~7 months before the RHP (7 Jul 2026) -- standard SME-IPO share-count inflation but timing warrants disclosure to investors comparing pre/post-bonus EPS.
KMP departure shortly before filing	Mr. Ram Hebbale H, Head of Business Development, resigned 15 June 2026 -- three weeks before the RHP was filed (7 Jul 2026).
Related-party transactions with promoter-group entity	V3 Technologies (5.86% pre-issue shareholder, promoter/relatives partnership) transacted on both purchase (PP&E Rs 707.74 lakh in FY25) and sale (goods Rs 204.20 lakh in FY25) sides with the company, plus recurring advances/security deposits -- bidirectional RPT volume with a promoter-controlled entity.
Regulatory/statutory non-compliance history	Section 10A subscription-money irregularity and multiple delayed PAS-3 filings across FY24-26, disclosed with corrective action (compounding/adjudication applications filed with RoC) but indicative of governance function lagging rapid scale.
Order book coverage	Confirmed order book of Rs 67.14cr (as of 5 Jun 2026) covers under half of FY26 revenue (Rs 148.8cr) -- normal for a short-cycle manufacturer taking PO-based orders, but means near-term revenue visibility is limited versus the scale already achieved.
Litigation / criminal proceedings	Zero criminal proceedings and zero material civil litigation against company, promoters, directors, or KMP. Only minor tax proceedings (Rs 8.45 lakh company-level, Rs 24.86 lakh promoter-level).
Auditor qualifications	No qualifications identified in the restated financial statements reviewed; single continuing auditor (Vishnu Daya & Co LLP) across the 3-year restated period.
OFS / promoter cash-out	100% fresh issue -- 'NOT APPLICABLE as the entire Issue constitutes Fresh Issue of Equity Shares.' No promoter selling shareholders in this IPO.

07 ADDITIONAL INSIGHTS

POST LISTING PRICE CHECK

> Company already listed and trading -- this shifts the analysis from a subscription decision to a post-listing hold/avoid read.

SCREENER AUTO FLAGS

- Company has high debtors of 340 days.
- Working capital days have increased from 76.3 days to 111 days

WHAT COULD BE WRONG WITH THIS ANALYSIS

> The single biggest uncertainty is whether the FY26 receivables buildup is temporary (large year-end defence orders billed but not yet paid, common with government/PSU-linked defence counterparties who have long payment cycles) or a genuine collection/channel-stuffing problem. Defence and Railways customers (likely PSUs/OEMs) often carry structurally longer payment cycles than typical private-sector manufacturing clients, which could mean 340 debtor days is sector-normal rather than a red flag unique to Millworks -- this cannot be confirmed without Q1/Q2 FY27 collection data (first post-listing quarterly results) or direct comparison to Unimech/Azad Engineering's own debtor-day trends. A second uncertainty: the 6.7x revenue growth could reverse if it was driven by one-time large defence orders rather than repeat business -- the RHP notes 74 total customers in FY26 (up from 46) which somewhat mitigates single-order risk, but the 47% single-customer concentration cuts the other way.

08 WHAT COULD BE WRONG WITH THIS ANALYSIS

- Issue Price, Floor/Cap Price and P/E computed on the RHP itself were left blank ([.]) pending price-band finalisation; this analysis relies on the post-listing CMP (Rs 660, screener.in, 21 Jul close) and screener.in's derived trailing P/E of 31.3x rather than the RHP's own price-band-based P/E, since the company is already listed by the time of this report.
- Industry Overview section's market-size/growth claims were not independently cross-verified against a named third-party research house within the sections reviewed.
- Full 365-page RHP was sampled at targeted sections (business, risk factors, objects, restated financials, RPTs, litigation, capital structure, basis for issue price) rather than read end-to-end; sections on Company History, full Management profiles, and complete Risk Factor list (60+ factors) were not exhaustively extracted.
- Screener.in financial figures (independently pulled) corroborate but use slightly different period labels (shows 'Mar 2026' as latest annual column) than the RHP's FY nomenclature -- reconciled to be the same FY26 (Apr 2025-Mar 2026) period.